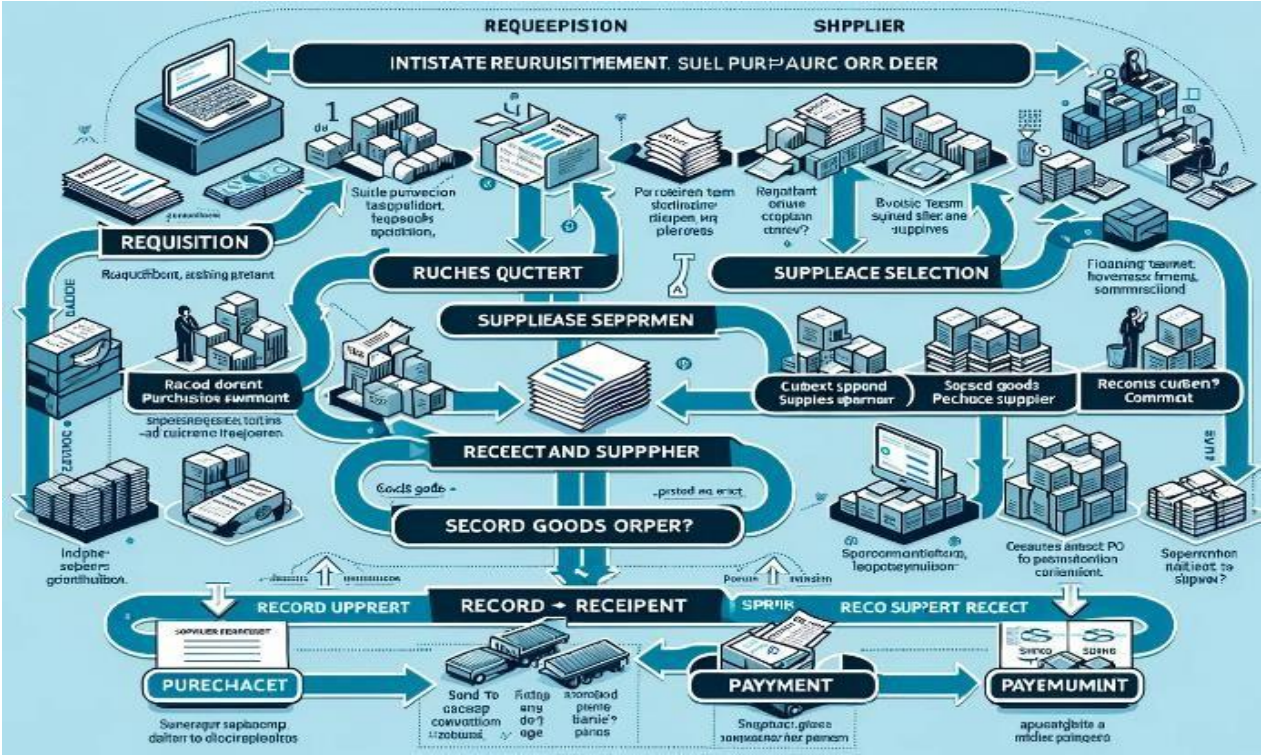


List of Topic to be Discuss in this Lecture

- ✓ Introduction to Procurement
- ✓ Types of Procurement
- ✓ Procurement Cycle
- ✓ Procurement Business Process Model
- ✓ Key Features of ERP Procurement
- ✓ Benefits of ERP in Procurement
- ✓ Challenges in ERP Procurement

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Introduction to Procurement

- **Definition:** Procurement involves acquiring goods and services from external suppliers to meet the internal needs of an organization.
- **Objective:** Ensure the availability of required materials and services in the right quantity, quality, and time at optimal costs.
- **Role in ERP:** In Enterprise Resource Planning (ERP) systems, procurement integrates purchasing processes with other business functions like inventory management, production planning, and financial accounting.

Types of Procurement:

Direct Procurement

Definition:

Involves purchasing raw materials, components, or goods directly used in production or core operations.

Example:

- A car manufacturer procuring steel, tires, and electronic components to build vehicles.
- A bakery buying flour, sugar, and butter for its products.

Indirect Procurement

Definition:

Focuses on acquiring goods and services not directly related to production but essential for running the business.

Example:

- Procuring office supplies like printers, paper, and furniture.
- Contracting cleaning services or software licenses for business operations.

Services Procurement

Definition:

Focuses on acquiring services from external vendors or providers.

Example:

- Hiring a marketing agency to run a campaign.
- Contracting IT services for software maintenance.

Strategic Procurement

Definition:

Concentrates on long-term planning and sourcing decisions aligned with organizational goals.

Example:

- Developing a partnership with a sustainable supplier for renewable energy.
- Negotiating a five-year contract with a logistics company for cost-efficient transportation.

Operational Procurement

Definition:

Involves routine purchasing activities for immediate needs.

Example:

- Ordering additional inventory to meet a sudden spike in demand.
- Processing invoices for a previously approved purchase.

Summary Table

Type	Focus	Example
Direct Procurement	Raw materials, components	Buying steel for manufacturing.
Indirect Procurement	Operational needs	Ordering office furniture.
Services Procurement	Intangible services	Hiring IT support.
Strategic Procurement	Long-term sourcing	Multi-year contract with a key supplier.
Operational Procurement	Day-to-day purchases	Replenishing inventory.

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Procurement Cycle in ERP:

The Procurement Cycle ensures a systematic and efficient acquisition process. By integrating the procurement process with inventory management, ABC Manufacturing can:

- Identify needs in advance and prevent stockouts through real-time inventory tracking.
- Automate purchase requisitions and approvals to reduce delays in order placements.
- Ensure timely replenishment by monitoring supplier performance and delivery schedules.

Key Features of ERP Procurement for Supplier Communication:

- **Supplier Collaboration and Portals:** ERP systems offer supplier portals that facilitate direct communication with vendors. This reduces the time required to request quotes, place orders, and resolve disputes.
- **Automation and Workflow Management:** Automating the RFQ and purchase order processes ensures that suppliers receive requests promptly, speeding up the procurement cycle.

Steps in the Procurement Cycle:

1. **Identify Needs**
 - **Description:** Determine what goods or services are required and why. This often involves consultations with various departments to understand their needs.
 - **Example:** A manufacturing unit identifies the need for raw materials like steel or aluminum for production.
2. **Specify Requirements**
 - **Description:** Clearly define the specifications, quantities, and quality of the goods or services needed. This step may include technical documentation.
 - **Example:** Drafting specifications for machinery, including capacity, power consumption, and safety features.
3. **Conduct Market Analysis**
 - **Description:** Research potential suppliers, market trends, and pricing to make informed decisions.
 - **Example:** Analyzing the market to identify suppliers who offer eco-friendly raw materials.
4. **Develop a Procurement Plan**
 - **Description:** Decide the procurement strategy, including timelines, budgets, and sourcing methods (e.g., tendering, direct purchase).
 - **Example:** Creating a plan to source IT equipment through a competitive bidding process.
5. **Solicit Proposals or Quotes**
 - **Description:** Issue requests for proposals (RFPs) or quotations (RFQs) to suppliers. This step ensures competitive pricing and value for money.
 - **Example:** Sending an RFP to multiple logistics companies for transportation services.

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6. Evaluate Suppliers

- **Description:** Assess proposals based on criteria like cost, quality, delivery time, and supplier reliability.
- **Example:** Comparing bids from three suppliers for a construction project based on pricing and past performance.

7. Negotiate Contracts

- **Description:** Negotiate terms, pricing, delivery schedules, and other conditions to ensure mutually beneficial agreements.
 - **Example:** Negotiating a two-year contract with a vendor for office supplies at a discounted rate.
-

8. Award the Contract

- **Description:** Finalize the supplier selection, sign agreements, and formalize the relationship.
- **Example:** Signing a contract with a supplier to provide raw materials for a year.

9. Order Placement

- **Description:** Issue a purchase order (PO) detailing the requirements, terms, and conditions of the purchase.
- **Example:** Sending a PO for 500 units of a specific electronic component.

10. Receive and Inspect Goods/Services

- **Description:** Verify that the goods or services meet the specifications and quality standards before accepting delivery.
- **Example:** Inspecting delivered machinery to ensure it matches the agreed specifications.

11. Process Payment

- **Description:** Approve invoices and make payments to the supplier as per the agreed terms.
- **Example:** Processing a payment after confirming the delivery of 1,000 tons of steel.

12. Monitor Supplier Performance

- **Description:** Evaluate supplier performance in terms of delivery, quality, and service to ensure continued reliability.
- **Example:** Conducting quarterly reviews of a logistics provider to ensure they meet delivery deadlines.

13. Maintain Records

- **Description:** Document all procurement-related activities, including contracts, POs, and invoices, for transparency and audit purposes.
- **Example:** Archiving the signed contract and delivery receipts for future reference.

14. Review and Optimize

- **Description:** Periodically review the procurement process to identify areas for improvement and cost-saving opportunities.
- **Example:** Analyzing procurement data to find opportunities for bulk purchasing discounts.

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Procurement Business Process Model

Business Process Model of the procurement process, organized into major stages and swimlanes to show responsibilities among departments:

Swimlanes:

- **Requesting Department**
- **Procurement Team**
- **Finance Team**
- **Supplier**

Procurement Process Outline

1. Requisition

- **Start Event:** Identify a need for goods or services.
- **Activities:**
 - *Create Purchase Requisition:* The requesting department initiates a requisition request.
 - *Review and Approve Requisition:* Requisition is reviewed and approved by department heads or relevant authorities.
- **Output:** Approved requisition document.

2. Supplier Selection

- **Start Event:** Approved requisition document.
- **Activities:**
 - *Request for Quotes (RFQ):* Procurement team sends an RFQ to potential suppliers.
 - *Evaluate Supplier Quotes:* Quotes are collected and compared based on cost, quality, and delivery timelines.
 - *Select Supplier:* Procurement team selects the most suitable supplier.
- **Gateway:** *Is Supplier Approved?* (Yes/No)
- **Output:** Selected supplier and agreed-upon terms.

3. Purchase Order Creation and Approval

- **Start Event:** Supplier selection completed.
- **Activities:**
 - *Create Purchase Order (PO):* Procurement team creates a PO with all relevant details.
 - *Approve PO:* The PO is reviewed and approved by procurement and finance teams.
 - *Send PO to Supplier:* Approved PO is sent to the supplier for confirmation.
- **Output:** Confirmed purchase order from the supplier.

4. Goods Receipt

- **Start Event:** Receipt of goods from the supplier.
- **Activities:**
 - *Inspect Goods:* The requesting department or quality control team inspects received goods for compliance.
 - *Record Receipt:* Goods receipt is documented and entered into the inventory system.
- **Output:** Goods received and inspected, receipt recorded.

5. Invoice Processing and Payment

- **Start Event:** Goods receipt confirmation.
- **Activities:**
 - *Receive Supplier Invoice:* Supplier submits an invoice to the finance team.
 - *Match Invoice with PO and Receipt:* Finance team verifies the invoice against the PO and goods receipt.
 - *Process Payment:* Finance processes the payment to the supplier according to payment terms.
- **End Event:** Payment completed.

Key Features of ERP Procurement

1. **Centralized Procurement Data:**
 - Single source of truth for supplier information, contracts, and transaction history.
 - Improves decision-making with real-time data access.
2. **Automation and Workflow Management:**
 - Automates approval workflows for purchase requisitions and orders.
 - Reduces manual errors and improves efficiency.
3. **Integration Across Functions:**
 - Seamlessly connects procurement with inventory, finance, and sales.
 - Avoids stockouts or overstock situations.
4. **Supplier Collaboration and Portals:**
 - Direct communication with suppliers for RFQs, orders, and dispute resolution.
 - Enhances transparency and reduces delays.
5. **Compliance and Risk Management:**
 - Ensures adherence to organizational policies and regulatory requirements.
 - Monitors supplier performance and flags potential risks.

Benefits of ERP in Procurement

1. **Cost Efficiency:**
 - Optimized procurement planning reduces unnecessary expenditures.
 - Bulk purchase orders capitalize on economies of scale.
2. **Improved Accuracy:**
 - Real-time data eliminates discrepancies between departments.
 - Accurate inventory levels prevent procurement mistakes.
3. **Faster Procurement Cycles:**
 - Automation accelerates processes like approval, ordering, and invoicing.
4. **Better Supplier Management:**
 - Centralized supplier performance data aids in evaluating and maintaining strong relationships.
5. **Regulatory Compliance:**
 - Provides audit trails and ensures compliance with financial and legal standards.

Challenges in ERP Procurement

1. **Complexity in Implementation:**
 - Integrating procurement with existing systems can be challenging.
2. **Training and Adaptation:**
 - Employees may need extensive training to use ERP procurement modules effectively.
3. **High Initial Costs:**
 - ERP systems often require significant investment in terms of software, infrastructure, and customization.